



**MEYYAPPAN
NAGAPPAN**

PARTNER-TAX,
IMPACT AND CLIMATE
FINANCE, TRILEGAL

**WHILE THE PACE
OF REGULATION
HAS PICKED UP,
THE PROBLEMS ARE
BETTER TACKLED
THROUGH AN
EMPOWERED
INSTITUTION WITH
THE MANDATE TO
ATTRACT
AND SUPPORT
CLIMATE FINANCE**

TAXONOMY FOR THE NATION

The draft framework for climate taxonomy is a significant step but the devil lies in the details. The urgency with which this will be updated on an ongoing basis remains to be seen

THE MINISTRY OF FINANCE recently released a draft framework for climate taxonomy, which has significant implications for foreign and domestic investors, companies (in power, mobility, construction, iron, steel and cement sectors), MSMEs and stakeholders in the agriculture sector.

The climate financing needed to achieve net-zero goals is estimated at \$250 billion annually till 2047. Further, this capital is required broadly in two areas, financing the energy transition and climate mitigation/adaptation investments, with more capital required earlier for financing the capex for the energy transition and investments into climate technologies. Commercial and concessional capital, therefore, has a huge role to play in filling this gap.

A robust taxonomy could accelerate the flow of capital to activities it covers. India has currently proposed only a framework and not a full taxonomy. The sectors proposed to be covered initially are power, mobility, buildings, agriculture, food, water, iron, steel and cement. It proposes to start with qualitative standards and then later introduce quantitative metrics. There is also a special focus on MSMEs and agriculture.

In designing and assessing a taxonomy suited to India, we have the

benefit of learning from other countries. Some aspects of India's framework that stand out and those that need further improvement are mentioned below.

Firstly, the key criterion for the taxonomy is to have a clear definition of what activities qualify as climate mitigation, adaptation or transition. Notably, the proposed framework covers specific sectors to start with and to that extent, it is unlikely to be a comprehensive guide for investors. Additionally, where the taxonomy is principles based and not guided by quantitative criteria, there is more subjectivity and lack of clarity, leading to disagreements and non-standardised approaches.

Secondly, the taxonomy has to categorise activities based on a science-based criteria. Quantitative criteria, such as emission standards to qualify for being a climate mitigation activity, should be set taking into account the best scientific approaches available. Since the science in this space is evolving rapidly, this would require consistent monitoring and revisions as technology advances.

Thirdly, each country is differently placed and, therefore, cannot transition all sectors at the same time. However, a clear taxonomy is intended to provide clarity as to the